



The Directors of Nation Media Group PLC announce the audited Group financial results for the year ended 31 December 2022

Condensed consolidated statement of comprehensive income

	2022	2021
	Kshs m	Kshs m
Turnover	7,298.3	7,613.7
Gross profit	5,873.7	6,401.7
Profit before income tax	491.7	730.7
Income tax expense	(173.2)	(237.6)
Profit after income tax	318.5	493.1
Other comprehensive income net of tax	152.1	91.6
Total comprehensive income for the year	470.6	584.7
Attributable to:		
Owners of the parent	463.9	578.3
Non controlling interest	6.7	6.4
Earnings per share (Kshs)	1.7	2.5
Dividend per share (Kshs)-Ordinary	1.5	1.5

Condensed consolidated statement of financial position

	2022	2021
	Kshs m	Kshs m
Capital and reserves		
Share capital	518.5	518.5
Other reserves	172.9	24.2
Retained earnings	7,643.5	7,613.7
Proposed dividends	285.4	285.4
Treasury shares reserve	(427.5)	(427.5)
	8,192.8	8,014.3
Non controlling interest	82.1	75.9
Total equity	8,274.9	8,090.2
Non-current liabilities	348.8	457.5
	8,623.7	8,547.7
Assets		
Non-current assets	4,345.5	4,526.5
Working capital		
Current assets	8,303.8	8,126.9
Current liabilities	4,025.6	4,105.7
Net working capital	4,278.2	4,021.2
	8,623.7	8,547.7

Condensed consolidated statement of cashflows

	2022	2021
	Kshs m	Kshs m
Cash generated from operations	461.1	1,711.1
Interest on lease	(38.9)	(44.6)
Tax paid	(432.7)	(219.6)
Net cash from operating activities	(10.5)	1,446.9
Net cash generated from/(used) in investing activities	188.4	(161.4)
Net cash used in financing activities	(412.9)	(556.0)
Increase in cash and cash equivalents	(235.0)	729.5
At start of period	2,111.9	1,344.2
Exchange gains on cash and cash equivalents	17.0	38.2
At end of period	1,893.9	2,111.9
Short term investments	1,861.7	1,846.7
Total cash and cash equivalents and short term investments	3,755.6	3,958.6

Condensed Group statement of changes in equity

	Share capital	Treasury shares reserve	Other reserves	Retained earnings	Proposed dividends	Minority interest	Total equity
	Kshs m	Kshs m	Kshs m	Kshs m	Kshs m	Kshs m	Kshs m
Year ended 31 December 2022							
At start of year	518.5	(427.5)	24.2	7,613.7	285.4	75.9	8,090.2
Total comprehensive income:							
Profit for the period	-	-	-	315.2	-	3.3	318.5
Other comprehensive income, net of tax							
Currency translation differences	-	-	42.8	-	-	3.4	46.2
Revaluation of buildings (net of deferred income tax)	-	-	93.7	-	-	-	93.7
Share of comprehensive income in associate	-	-	12.2	-	-	-	12.2
Total other comprehensive income	-	-	148.7	-	-	3.4	152.1
Total comprehensive income for the period	-	-	148.7	315.2	-	6.7	470.6
Transaction with owners:							
Dividend paid - final 2021	-	-	-	(285.4)	-	-	(285.4)
Dividends paid to minority	-	-	-	-	(0.5)	-	(0.5)
Proposed final dividend for 2022	-	-	-	(285.4)	285.4	-	-
Total transaction with owners	-	-	-	(285.4)	-	(0.5)	(285.9)
At end of period	518.5	(427.5)	172.9	7,643.5	285.4	82.1	8,274.9

Performance

The business environment in 2022 was relatively depressed as the region experienced weakened consumer spending resulting from the extended drought, rising energy costs and increase in price of basic commodities. The economic slowdown was more pronounced in Kenya aggravated by the prolonged electioneering period. In spite of the above, we registered increased revenue from digital products and services, Business Daily, The EastAfrican, Taifa Leo and Courier business. The Group's digital footprint grew by 25.3% to 57.9 million users compared to the same period last year.

The Group's profitability was adversely impacted by the drastic rise in global prices of newsprint (which increased by over 100% compared to last year) and the depreciation of the Kenya Shilling against the US Dollar, worsening the cost of imported raw materials. This adverse impact was partially cushioned by improved operational efficiency.

Dividend

The Directors recommend the payment of a final dividend of Kshs 1.50 per share (60%) on the issue and paid-up share capital adjusted for treasury shares (190,295,163 ordinary shares of Kshs 2.50 each) subject to approval by shareholders at the Annual General Meeting. The dividend will be paid in withholding tax where applicable, on or about 31st July 2023, to shareholders registered on the register of members at the close of business on 16th June 2023. The register of members will be closed from 1st to 23rd June 2023, both dates inclusive. No interim dividend was paid during the year.

Outlook

The Group continues to focus on product innovation across our channels and platforms as we embark on an accelerated phase of transforming the organisation into an audience-led, digital-first media company with a diverse portfolio of products to drive optimal monetisation of our expansive digital footprint. Similarly, the Group will continue to uphold its strong presence in commercially viable print and broadcast media by continuously offering unique and relevant content to our audiences.

By order of the Board

Angela Namwakira
Company Secretary
5th April 2023

OUR BRANDS

DAILY NATION
The EastAfrican
MWANANCHI

DAILY MONITOR
BD
TAIFA LEO

RWANDA TODAY
THE CITIZEN
ENNYANDA

Spoti
Sparky

NTV
NATION FM

demba

Nation Sema

Pishy

brand studio

NATION ePaper

KUSI IDEAS FESTIVAL